



ANALYSIS OF UNBILLED REVENUE

In the previous section we discussed about items in operating working capital like accounts receivables, accounts payables and inventory. We will now build on the same and understand other operating working capital items.

Unbilled Revenue

Unbilled Revenue is revenue for which service has been provided however the invoicing is not yet done. The company has completed its obligation but has not yet issued an invoice to the purchasing company. Thus, this is an asset. The expenses have been incurred, however the revenue is to be recognized.



service provided



Invoice is not issued



thus this is an asset

Unbilled revenues					
Unbilled Revenues/ Total Revenues					
	0	0	0	0	0
Try to understand the structure of unbilled revenue. It is room to significant accounting shenanigans					
Who initiated it, when to be billed, payment terms etc					

For Pidilite Industries Ltd., we do not see any Unbilled Revenue. Going ahead, for other companies, if the number as a percentage of revenue and total assets is small, we will need to dig deeper. However, if the number is significant, we need to understand them in detail.